



Vertical vs. horizontal integration

Companies that want to expand through a merger or acquisition may decide on a strategy of either horizontal or vertical integration, combining businesses involved in similar or dissimilar activities.

How it works

Companies can choose from several strategies when they merge or are part of an acquisition. Two of the most common are horizontal and vertical integration.

Horizontal deals are always done between competitors that produce similar types of products, such as cars or mobile phones, and often share—or compete for—the same suppliers and clients. As a result of

merger or acquisition, the newly formed company can make cost savings in production, distribution, sales, and marketing. Vertical deals are usually between businesses involved in the same industry but at different stages—for example, a computer maker and a component manufacturer. These deals can be upstream (toward the market) or downstream (in the direction of operations and production).

**NEED TO KNOW**

- › **Lateral integration** Another term for horizontal integration
- › **Horizontal monopoly** When a company controls the market after buying up the competition
- › **Synergy** The potential of merged companies to be more successful as a single entity

Integration models in practice

In these hypothetical examples, a cluster of printers, publishers, and bookstores merge or acquire each other in horizontal or vertical deals that aim to strengthen their market position, take advantage of economies of scale, and exploit synergy.

